

passes to the preferred stock (e.g., A. G. Spalding and Brothers 7% First Preferred, where working capital was required to equal 125% of the preferred issue).³

Voting Power in the Event of Nonpayment of Dividends. The second general type of protective provision for preferred stocks relates to voting power accruing in the event of nonpayment of dividends. As far as we know, these stipulations apply only to cumulative issues. The arrangement varies with respect to when the voting power becomes effective and to the degree of control bestowed. In a few cases (e.g., Kaufmann Department Stores 7% Preferred and Royal Baking Powder Company 6% Preferred) the voting right accrues after one dividend is omitted. At the other extreme, the right becomes effective only after eight quarterly payments are in default (e.g., Brunswick-Balke-Collender Company). The customary period allowed is one year. The right conferred upon the preferred stock may be: (1) to vote exclusively for the directors, (2) to elect separately a majority of the board, (3) to elect separately a minority of the board, or (4) to vote share for share with the common stock.

Example of (1): McKesson and Robbins, Inc., Preferred Stock received the sole right to elect the directors upon omission of the fourth quarterly dividend in December 1932.

Example of (2): In 1933 Hahn Department Stores Preferred obtained the right to elect a majority of the board, because of the omission of four quarterly dividends.

Example of (3): Universal Pictures First Preferred has the right to elect two directors in the event of default of six quarterly dividends. Brooklyn and Queens Transit Corporation Preferred may elect one-third of the board if all arrears are not paid up within a year after any quarterly dividend is omitted.

Example of (4): City Ice and Fuel Preferred votes share for share with the common in the event of nonpayment of four quarterly dividends.⁴

³ In 1939 the 7% First Preferred was replaced by income bonds, new preferred, and common.

⁴ An unusual variation of this idea was found in the case of Du Pont "Non-voting Debenture Stock" (a preferred issue), retired in 1939. The holders were given the right to vote equally with the common stock in the event that the earnings for any calendar year fell below 9% on the debenture stock issue. They received exclusive voting power if dividends were in default for six months.